An initiative called Kaizen was also introduced at the tea plantations, which involved cross-functional teams. This enabled the ‘improvement on all work processes through involvement of a team of people from different functions who identify and study the problems and implement actions for resolving the problems’.

Looking Beyond Tea

After the Tetley acquisition, the company unveiled its plans to ‘gradually reduce its dependence on traditional tea by foraying into tea-related beverages and other value-added offerings like tea bars and cafes’. In 2001, it announced that in the next three years, ‘at least 30 per cent’ of its turnover would ‘come from other value added products’, while tea would ‘contribute 70 per cent from over 90 per cent currently’.

The company also considered expanding its business by investing in the mineral water segment and offering a variety of items including ‘herbal tea, ice tea, vitaminised tea and organic tea’. Homi Khusrokhan, who succeeded Kidwai as MD in February 2001, stated that Tata Tea, ‘as part of capturing the institution business, has also decided to foray into beverage vending machines for the institutional market by launching Tata Tea and Tata Coffee’.

The period after the Tetley acquisition was one of high growth for Tata Tea. Tata Tetley, on its part, launched tea bags in new markets and made plans to expand the offerings of other products, ‘flavoured, herbal and ready-to-drink teas’ in both established and ‘new emerging markets’. The company also made a bold attempt to enter the Pakistan market in 2003 through a local partner, but it hit roadblocks. Tata Tea then formed a JV with the Pakistan-based Lakson group and Tetley Limited. Meanwhile, Ratan kept the company focused ‘on the growth of the branded tea portfolio, productivity improvement, aggressive cost cutting, working capital improvements and reduction in interest costs’.

At the 2004 AGM, Ratan reiterated that the company would pursue both ‘organic and inorganic’ growth to make Tata Tea ‘globally competitive’. He added that he would pursue the ‘vision’ to be ‘among the top three market leaders in the country and to reach out to the global market’. Krishna Kumar elaborated that the company would not only look at ‘just brands’, but at businesses, and that they would not be confined to tea alone.